AI & IP

What Every Researcher Needs to Know Before Using AI in Your Work

Patents · Copyright · Trade Secrets · Fair Use · Training Data · Authorship

Current as of March 2026

THE THREE LAYERS OF AI & IP

three distinct legal regimes — each governing a different piece of the puzzle.

Copyright

Protects creative expression

- Source code & written outputs
- Who owns AI-generated text?
- Training data infringement?
- The most litigated AI IP issue

The main battleground

Patent

Protects novel inventions

- AI systems & methods can be patented
- USPTO has dedicated AI examination units
- AI cannot be a named inventor
- A human must conceive the invention

Human inventorship required

Trade Secret

Protects confidential know-how

- Training datasets
- Model weights & architectures
- Algorithms & fine-tuning methods
- Often the most valuable AI asset

Often overlooked by users

THE TWO BIG IP BATTLES IN THE AI ERA

QUESTION 1

Who Owns What AI Creates?

The Output Side

When you use ChatGPT, Claude, or Midjourney to create content — who holds the copyright? Who holds the patent? The AI? You? No one?

QUESTION 2

Can AI Companies Train on Your Work?

The Training Data Side

Did OpenAI, Meta, Google, and others have the legal right to scrape books, articles, code, and art from the internet to train their models?

Both questions affect how you use AI in research, what you can publish, and what protections your own work has.

QUESTION 1 · WHO OWNS AI-GENERATED CONTENT?

Copyright & Patent: Same Answer

Copyright

Requires human authorship. Purely AI-generated works = no copyright. Prompts alone ≠ authorship. (Copyright Office, Jan. 2025; Thaler v. Perlmutter, DC Cir., Mar. 2025)

Patent

Requires human inventorship. AI can assist but a human must conceive the claimed invention. AI cannot be a named inventor. (USPTO, Nov. 2025)

Result

Purely AI-generated works fall into the public domain. No one owns them — not the user, not the AI company.

But AI-Assisted Work CAN Be Protected

- ✓ Human creative control over expression = copyrightable
- ✓ AI used as a tool (like software or lab equipment) = you own the output
- ✓ Selecting, arranging, or modifying AI output creatively = protected
- ✓ Human conceives the invention with AI assistance = patentable
- ! Must disclose AI use in copyright registration applications
- ! Claim only your human contributions; disclaim AI portions
- ! The more the AI decides the expressive elements, the weaker your claim

Sources: U.S. Copyright Office AI Report Part 2 (Jan. 2025); Thaler v. Perlmutter, D.C. Cir. (Mar. 18, 2025); SCOTUS cert. denied (Mar. 2026); USPTO AI Inventorship Guidance (Nov. 2025)

THE

LITIGATION EXPLOSION

86+

U.S. copyright lawsuits

as of March 2026

+ 24 international cases
= 110+ worldwide

All copyright cases. All filed within ~3 years. Pace is accelerating across every content sector.

WHO'S BEING SUED

- OpenAI / ChatGPT
- Meta (Llama)
- Anthropic (Claude)
- Google
- Microsoft
- Apple
- Nvidia
- Midjourney
- Stability AI
- Suno / Udio (music AI)
- Perplexity AI
- Salesforce, Adobe, Snap…

Copyright Lawsuits v. AI Companies

Canada

CanLII v. Caseway AI
Supreme Ct. of British Columbia

Toronto Star News. v. OpenAI
Ontario Superior Ct. of J.

Gagne v. Stability AI
Federal Court

MacKinnon v. Meta
Supreme Court of B.C.

MacKinnon v. Anthropic
Supreme Court of B.C.

MacKinnon v. Databricks
Supreme Court of B.C.

MacKinnon v. NVIDIA
Supreme Court of B.C.

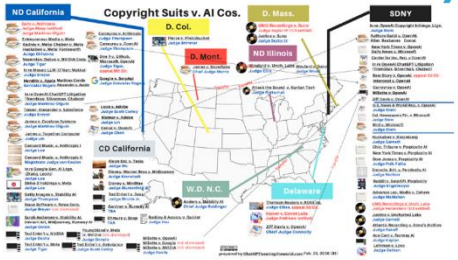
Robillard v. Meta
Quebec Superior Court

Sabourin v. Meta
Quebec Superior Court

Sabourin v. OpenAI
Quebec Superior Court

Robillard v. OpenAI
Quebec Superior Court

Clare v. Meta
Federal Court



UK

Getty Images (US) v. Stability AI Ltd.
High Court of Justice in London on appeal

Netherlands

DPG Media v. HowardsHome:
Amsterdam Dist. Court

France

National Publishing Union v. Meta
Tribunal Judiciarie de Paris

Germany

GEMA v. OpenAI
Munich Regional Court

GEMA v. Suno
Munich Regional Court

Kneschke v. LAOIN on appeal
Hamburg High. Regional Court

Japan

Yomiuri Shinbun v. Perplexity
Tokyo District Court

Nikkei, Asahi Shimbun v. Perplexity
Tokyo District Court

South Korea

Korean Broad. Assn. v. Naver
Seoul Central Dist. Court

KBS, MBC, SBS v. OpenAI
Seoul Central Dist. Court

EU

Like Co. v. Google
EU Court of Justice

China

Shanghai Character License Administrative Co. v. TAB
Guangzhou Internet Court

Shanghai Cultural Dev. v. Intell. Tech. Co
Hangzhou Internet Court

India

Asian News Int'l. v. OpenAI
New Delhi Court

Intervenors:
Fed. Indian Pub. (FIP)
Digital News Publishers Assn (DNPA)
Indian Music Industry (IMI)

Brazil

Folha de S. Paulo v. OpenAI
Ct. of First Instance

ChatGPTiseatingtheworld.com

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Feb. 25, 2026

QUESTION 2 · THE CENTRAL LEGAL BATTLEGROUND: FAIR USE

AI companies scraped the internet to build their models without asking permission. Their defense: it's "fair use." The foundation of that argument: Authors Guild v. Google (2d Cir. 2015), which found Google's digitization of millions of books for search was transformative fair use.

Factor 1

Purpose & Character

Was the use transformative? AI companies argue training extracts statistical patterns, not expression — similar to Google Books. Commercial purpose cuts against fair use.

Factor 2

Nature of the Work

Was the original creative (novels, music) or factual? More creative = stronger copyright. Courts have generally sided with authors on this factor.

Factor 3

Amount Taken

How much of the original was used? AI companies scraped entire books, songs, and articles. Courts haven't found this factor alone decisive.

MOST IMPORTANT

Factor 4

Market Harm

Does AI use harm the market for the original? This is the KEY factor. If AI competes with or substitutes for originals — or kills a licensing market — fair use fails.

2025 LANDMARK RULINGS · TRAINING DATA AS FAIR USE

Two federal judges in the same district issued closely-watched rulings just two days apart in June 2025:

Bartz v. Anthropic (June 23, 2025)

✓ **Training Claude on copyrighted books = FAIR USE**

✗ **Storing pirated book libraries = NOT fair use**

Judge Alsup: the model learned patterns, not the books themselves. But Anthropic went too far by maintaining a permanent library of pirated texts — that step was not protected.

Settlement: Anthropic agreed to pay up to $1.5 billion

Case settled → non-precedential, but the $1.5B figure signals real exposure.

Kadrey v. Meta (June 25, 2025)

✓ **Training Llama on copyrighted books = FAIR USE**

? **Market harm absent — but warned it would be decisive**

Judge Chhabria: transformation does NOT automatically win fair use. Market dilution will often tip the scales for plaintiffs — 13 authors simply provided no evidence of harm here.

"This ruling does not mean Meta's use is lawful."

— Judge Chhabria (a roadmap for future plaintiffs, not an AI blank check)

WHEN FAIR USE FAILED · THOMSON REUTERS v. ROSS INTELLIGENCE

The First AI Copyright Decision (Feb. 11, 2025 · D. Delaware)

What happened:

ROSS Intelligence built a competing AI legal research tool using Westlaw's proprietary headnotes and Key Number System — compiled by lawyers at Thomson Reuters — to train its model without permission.

The ruling:

Judge Bibas: Westlaw's headnotes are original, creative works. ROSS's use was NOT transformative — it directly trained a competing legal search product. Market harm was clear and quantifiable.

Now on appeal to the 3rd Circuit — could be the first binding AI copyright precedent.

Why This Case Is Different

Direct competitor

ROSS competed directly with Westlaw

Not generative AI

AI search tool, not a general-purpose LLM

Clear market harm

Thomson Reuters quantified lost business

Highly original input

Headnotes written by lawyers — creative work

Closer to competing = harder to claim fair use

THE LAW IS STILL BEING WRITTEN · WHAT'S STILL OPEN

No appellate court has ruled on AI training data. No Supreme Court AI copyright precedent exists. The district court wins for AI companies are early, narrow, and fact-specific.

AI Authorship

Thaler v. Perlmutter: DC Circuit ruled no copyright for AI-generated works (Mar. 18, 2025). SCOTUS denied cert (Mar. 2026). The rule is settled at the district level — but Congress hasn't acted.

Fair Use on Appeal

Thomson Reuters v. ROSS is at the 3rd Circuit. A ruling could create the first binding precedent on AI training data — and could go either way. Watch this closely.

The News & Output Frontier

NY Times, Chicago Tribune, and others have sued for output-based reproduction — when AI parrots the original verbatim. This is the next phase of litigation.

The Licensing Market Problem

Meta wanted to license training data but rights fragmentation blocked it — no collective licensing mechanism for book authors. As deals proliferate, those who refused to license face weaker fair use arguments.

WHAT THIS MEANS FOR RESEARCHERS

1. AI-generated text in your paper may not be copyrightable by you. Document your human contributions — the more creative control you exercised, the stronger your claim.
2. Using AI as a research tool (summarizing, coding, analyzing data) is more defensible than using it to write your conclusions. IP follows human creative input.
3. Check your journal's AI disclosure policy before submitting. Most publishers now require it. Some restrict AI-generated content entirely.
4. Your published work may already be in someone's training set. Licensing markets are forming — authors with leverage should pay attention.
5. The AI tool you're using is built on trade secrets. The model weights, training data, and architecture are proprietary — you cannot reproduce or reverse-engineer them.

For Academic Work Specifically

- → Document human contributions
- → Disclose AI tools in methods
- → Review co-author policies
- → Monitor IRB guidance updates
- → Check publisher AI policies
- → Consider licensing value of your own work

Winning the Race

AMERICA'S AI ACTION PLAN

KEY TAKEAWAYS

01

Three forms of IP govern AI — not just copyright —

Patents, copyright, and trade secrets each protect different pieces. Most AI controversy is copyright, but patents and trade secrets matter too — especially for AI developers.

02

AI output ≠ automatic copyright or patent rights —

Human authorship and human inventorship are both required under U.S. law. Purely AI-generated works belong to no one. Courts and federal agencies agree on this.

03

Training on copyrighted works is contested — courts have leaned fair use, but narrowly —

2025 wins for AI companies (Bartz, Kadrey) are fact-specific, non-binding, and explicitly cautioned against over-reading. The law is not settled.

04

One clear loss for AI: when it directly competes with what it copied —

Thomson Reuters v. ROSS shows that training a direct competitor on copyrighted material is infringement. On appeal to the 3rd Circuit — watch this.

05

86+ lawsuits, accelerating across every content sector —

Books, news, music, code, visual art, voice. The legal landscape will look materially different in 12 months. What's permissible today may not be tomorrow.

Sources: chatgptiseatingtheworld.com · Practical Law, AI Key Legal Issues: Overview (US) · U.S. Copyright Office AI Reports · Current as of March 2026